

Corporate Public Affairs: Commitment, Resources, and Structure

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Using resource dependency and institutional theories, we create and test a model examining the relationships among senior management commitment, resource allocations, and the structure of public affairs departments. Using a large sample of U.S.-based firms, we find a positive relationship between senior management commitment to the public affairs function and the level of human and monetary resources allocated to the public affairs department. Furthermore, firms structure their public affairs responsibilities into three common activity sets: communications, collaborations, and local activities. These common activities are, in turn, positively associated with senior management commitment and resources allocated to the public affairs department.

Keywords: *corporate public affairs; institutional theory; public affairs departments; resource dependence theory; senior management commitment*

As a result of recent corporate scandals, involving such notable companies as Tyco, Enron, Ahold, and Parmalat, demands are increasing for greater corporate transparency. The corporate public affairs (PA) department is one means by which an organization can reveal itself to and interact with the public. The *window in/window out* analogy of the corporate public affairs department was made more than two decades ago by Post, Murray, Dickie, and Mahon (1983) based on Adams's (1976) description

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of boundary-spanning functions. A corporate PA department (Fleisher, 1993; Greening & Gray, 1994; Post & Foundation for Public Affairs, 1993; Post & Griffin, 1997; Post et al., 1983) is a *window into* the organization for increasing transparency, legitimacy, and trust between the firm and its environment. It is also a *window out* through which the firm can shape the opinions and issues of experts, community leaders, politicians, and various constituencies (Adams, 1976). PA departments are boundary-spanning structures that link internal and external constituents.

Researchers have found that both internal and external factors influence the way PA departments are structured and organized (Adams, 1976; Post et al., 1983; Rehbein & Schuler, 1999). For example, Martin (1995) found that internal organizational factors, such as the existence of a Washington office, help shape boundary-spanning activities. Schuler (1996, 1999) and colleagues (Schuler & Rehbein, 1997; Rehbein & Achuler, 1999; Schuler, Rehbein, & Cramer 2002) found that internal factors, such as firm size and a Washington office, and external factors, such as industry concentration, industry political rivalry, and government contracts, affect a firm's corporate strategy. Greening and Gray (1994) developed a contingency model to explain how organizations structure their corporate PA departments to manage strategic issues. A combination of managerial discretion, senior management support, external interest groups, crises, and firm size accounted for how organizations respond to critical issues. Schuler (1996, 1999) and colleagues (Schuler et al., 2002; Schuler & Rehbein, 1997) also recommended that researchers closely examine how internal organizational factors (and their interplay with external forces) affect an organization's response to its external environment. We are following this recommendation.

Using two theoretical literatures—resource dependency and institutional theory—our study focuses on internal factors. More specifically, we examine the relationship among senior management commitment, resource allocations, and the structuring of activities within the corporate PA department. Resource dependency theory suggests that internal resource allocations and senior management coalitions are important aspects of organizational effectiveness. Institutional theory suggests that firms conform to external expectations by developing formal rules and guidelines as well as isomorphic structures. Combining resource dependency and institutional theories helps us to examine how internal resources and structures shape the boundary-spanning activities of the PA department.

In the next section, we develop our model by focusing on insights from resource dependency and institutional theories. Our hypotheses are presented in the subsequent section. In the fourth section, we describe our

methodology, and the fifth section contains our results and the limitations of the study. In the sixth and final section, we discuss our findings and identify avenues for future research.

THEORETICAL MODEL DEVELOPMENT

Resource Dependency

Resource dependency theory argues that organizations are not self-sufficient. Organizations need to acquire resources from their environments (Pfeffer & Salancik, 1978). Organizations, in turn, become dependent on those resources and relationships for their survival. The role of a manager is to arrange these dependencies in the most cost-efficient and effective manner. A simple way of reducing dependence is through co-opting, “a strategy for acquiring resources, exchanging information, developing inter-firm commitments, and establishing legitimacy” (Pfeffer & Salancik, 1978, p. 161).

Managing dependencies is conditioned on gaining (internal) management commitment, especially the commitment from the dominant coalition (Pfeffer & Salancik, 1978). Managers must make choices within constraints because of limitations in cognitive ability (March & Simon, 1958; Simon, 1976), information, and increased uncertainty (Thompson, 1967). As a result, resource-constrained managers make “satisficing” rather than optimal decisions. These satisficing decisions are often predicated on the organizational routines and structures shaping the underlying premises by which information is “filtered” through the organization (Cyert & March, 1963; Rehbein & Schuler, 1999; Schuler & Rehbein, 1997). The greater the need to manage dependencies, the more committed the organization is likely to be in creating formal routines and structures.

The essence of resource dependency theory is that managers attend to critical resources. Managers’ choices are designed to control external dependencies and secure necessary resources (Pfeffer & Salancik, 1978). We apply these insights concerning dependencies to help explain *internal* behavior within an organization. In particular, we examine the resource allocations and reporting relationships between a boundary-spanning unit, the corporate PA department, and the organization. Dependencies within the organization, specifically via senior management commitments and resource allocations, should be related to the structure of the activities of the corporate PA department.

Institutional Theory

Institutional theory argues that organizations develop structural rules and procedures not necessarily to make the organization more efficient but to make it appear legitimate to external parties (Meyer & Rowan, 1977). Organizations are considered to be legitimate if they behave in a manner consistent with society's expectations about how organizations of that type should behave. A profit-oriented business, for example, should try to maximize its profits; a university, on the other hand, should conduct research and teach students (Scott, 1987). Organizations confirming society's notions are perceived to be legitimate and therefore gain access to the resources they need to survive (Meyer & Rowan, 1977).

DiMaggio and Powell (1983) suggested that organizations tend to develop similar or isomorphic procedures and structures in response to three strong institutional forces: coercive, mimetic, and normative forces. Organizations subject to the same laws and regulations (coercive forces) tend to adopt similar structures. For example, firms listed on the NYSE are required to have audit committees, and they do so (Eichenseher & Shields, 1985). Organizations faced with a high degree of uncertainty, on the other hand, tend to adopt the policies and procedures of other, more established and successful organizations (mimetic forces) within their industry. Mimicry helps to explain the spread of civil service reforms among municipalities from 1880 to 1935 (Tolbert & Zucker, 1983). Finally, normative forces often occur because of professionals. Professionals in a particular field are trained in a similar fashion and so tend to view situations in a similar way. Galaskiewicz (1985) found that professional donation officers tend to follow similar donation patterns, and DiMaggio (1991) found that professional museum directors develop similar structures among their art museums.

Institutional theory argues that conformity with social and political norms may be more important than economic factors for the long-term survival of an organization (Meyer & Rowan, 1977). An organization conforming to these external expectations is less likely to have its legitimacy questioned and so obtains resources and social support more easily (DiMaggio & Powell, 1983; Tolbert, 1985; Tolbert & Zucker, 1983). Once these structures become institutionalized, the firm's ability to survive and prosper may be less dependent on its performance and more dependent on the signals of stability conveyed by these structures. Isomorphic structures are not necessarily efficient, but they are persistent (North, 1981).

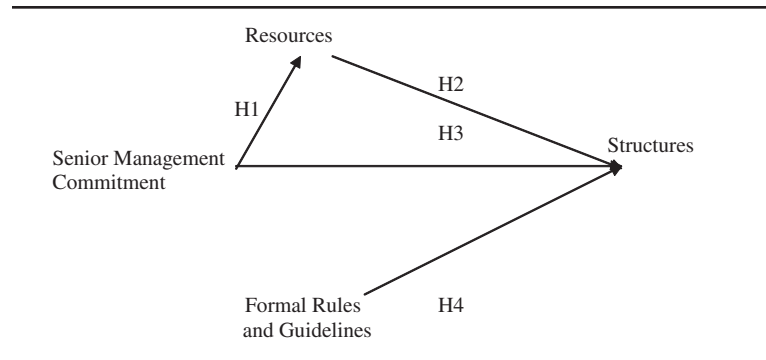


Figure 1. Theoretical Model

Our integrated model (see Figure 1) combines resource dependency and institutional theory to examine if broader patterns of structuring activities exist among corporate PA departments. We hypothesize that resource allocations, senior management commitment, and internal institutional pressures (formal rules and guidelines) are significantly related to the structures of corporate PA departments. Specific hypotheses are discussed in the next section.

HYPOTHESES

Senior Management Commitment and Resources

The corporate PA department is not self-sufficient. It needs the support of senior management. The department can gain senior management support and become strategically critical in a variety of ways (Fleisher & Hoewing, 1992). As a transparent window, it can scan the firm's external environment while allowing constituents a view of the organization (Adams, 1976; Post et al., 1983). The department creates internal dependencies by systematically filtering information from the external environment and making the information relevant and available for decision making (Rehbein & Schuler, 1999). The greater the need to manage external dependencies, the more committed the organization is likely to be in creating effective internal organizational routines and structures. Such a response would focus on minimizing internal constraints, enhancing communication flows, and developing effective decision-making patterns within the firm and the PA department.

Important issues get the attention of management, and the more critical and important the issue, the more likely it is to gain senior management's

attention. If the corporate PA department is important to the organization and it manages important issues, then the corporate PA executive is likely to report to a senior-level executive within the organization. A direct, positive correlation between the importance of the corporate PA department and its reporting level within the organization reflects its status and contribution to corporate decision making. The more important the department, the higher its executive reports. Another indication of the department's importance is the amount of scarce resources it receives. In a study of 91 foreign subsidiaries of U.S.-based companies, Blumentritt (2003) found a strong positive relationship between the subsidiary's top management orientation toward government affairs and resource allocations. The importance of a department is often measured by the level of salaries paid to its personnel (Pfeffer & Davis-Blake, 1987) and the size of its overall budget. We hypothesize a direct correlation between internal support (senior management commitment) given to the corporate PA department and the resources the corporate PA department receives from the organization. More formally,

Hypothesis 1. Senior management commitment is positively associated with the resources allocated to the corporate public affairs department.

Resources and Similar Structures

To reduce uncertainties, firms can engage in a number of buffering and bridging strategies, such as stockpiling resources, adjusting the scale of operations, signing long-term contracts, and entering into joint ventures, mergers, or acquisitions (Thompson, 1967; see Scott, 1992, Chapter 8, for a summary). Although these strategies may reduce uncertainty, they have a cost. Stockpiling may require the use of working capital, signing long-term contracts requires ongoing commitments, and engaging in mergers and acquisitions creates opportunity as well as operating costs. An alternative strategy that does not require the heavy expenditure of resources is mimicry.

Mimicry is a low-cost response to uncertainty whereby imitators adopt the structures of innovators. Mimetic activities may occur when the firm cannot afford or is unwilling to expend the time, trouble, and effort to scan its external environment and develop its own customized responses and routines. Galaskiewicz and Wasserman (1989) studied the corporate philanthropy patterns of 75 organizations to 198 charitable organizations in the Minneapolis–St. Paul area from 1980 to 1984. They found that donating firms were more likely to mimic the charitable donation patterns of other organizations to which they were linked through boundary-

spanning personnel, such as giving officers and/or CEOs. These philanthropic decision makers tended to imitate the behavior of those in their networks whom they knew and trusted. Such a mimetic activity did not require the heavy expenditure of resources because the decision makers were already linked through interpersonal ties.

If a firm does not have the resources to scan its environment, a low-cost solution is to simply duplicate the structures of other organizations within its organizational field. At the suborganizational level, if a corporate PA department has few resources, it may simply adopt the activities and structures of other corporate PA departments. Without adequate resources of its own to scan its external environment, a corporate PA department may default to mimicry.

Hypothesis 2. Resource allocations are negatively associated with similar structures in corporate public affairs departments.

Senior Management Commitment and Similar Structures

Within organizations, senior management beliefs and behaviors often set implicit and explicit examples. Top managers help define organizational culture by their communications, behavior, and responsibilities (Trevino, 1990; Weaver, Trevino, & Cochran, 1999). Other managers may adopt senior management's outlook through social learning (Weaver et al., 1999). Senior management sets standards for reward and punishment, helping to define information flows and acceptable expectations and behaviors (Weaver et al., 1999). How senior decision makers interpret external events and perceive the importance of PA departments may account for differences in internal structures among firms (Dutton & Duncan, 1987; Dutton & Ottensmeyer, 1987; Greening & Gray, 1994).

We hypothesize that senior management commitment is likely to be reflected in a similarity of activities within corporate PA departments. Without top management support, particular PA activities are likely to grow (or decline) based on the vicissitudes of the prevailing pressures on the firm. For example, personal concerns of the PA executive and/or the current CEO as well as recent media stories or regulatory demands may significantly shift the attention of the PA department. Under such circumstances, little similarity of PA activities among industries, regulatory environments, or organizational characteristics is likely to exist.

On the other hand, structuring activities in a similar manner provides a common mechanism for gathering and accessing information from various sources (inside and outside of the firm) for corporate decision making. For example, if identifying opportunities and challenges in the firm's legal

environment is important, then the PA department would be structured with a narrow set of activities focusing on obtaining specialized information. Alternatively, if management wants to disseminate cross-functional knowledge about marketing, public policy, investor relations, and purchasing concerns, then the PA department would be structured with a wide range of activities that affect multiple constituents such as investors, government agencies, and consumers. Overall, we hypothesize that the more committed top management is to the PA function, the more likely there will be common structures of activities within PA departments.¹ More formally,

Hypothesis 3. Senior management commitment is positively associated with similar structures in corporate public affairs departments.

Formal Rules and Guidelines and Similar Structures

To gain respect and legitimacy, firms can adopt rules and regulations conforming to societal expectations (Meyer & Rowan, 1977; W. Scott, 1992). The corporate PA department purposefully addresses business and social expectations by incorporating formal rules and guidelines into its strategic plans and mission. These programs include training activities, procedures for auditing and evaluating behavior, disciplinary processes, dedicated departments, senior officers (Weaver et al., 1999), and having an integrated issues management decision-making process (Greening & Gray, 1994). Formalized rules and guidelines are institutionalized not necessarily to reduce costs or to gain competitive advantage but rather to signal conformance with societal expectations (DiMaggio & Powell, 1983; Meyer & Rowan, 1977). Although not efficient, these rules and guidelines persist (North, 1981). The role of formal rules and guidelines is central to normative isomorphism. Formally, Hypothesis 4 states,

Hypothesis 4. Formal rules and guidelines are positively associated with similar structures in corporate public affairs departments.

METHOD

Sample Population and Instrument

Our sample population is composed of the senior executives in U.S.-based organizations responsible for corporate public affairs. *Corporate public affairs* is defined in the survey as the “management function

responsible for interpreting the corporation's non-commercial environment and managing the corporation's responses to that environment" (Foundation for Public Affairs, 1999, p. 2) and is consistent with previous empirical studies (Greening, 1992; Greening & Gray, 1994; Meznar & Nigh, 1995).

In 1999, after a pretest of the questionnaire, surveys were mailed to 1,087 senior executives. The sample population was identified with the help of the *National Directory of Corporate Public Affairs* and the Public Affairs Council.² Two hundred twenty-three surveys were returned (21% response rate). Financial data were not available for 72 companies.³ Therefore, the final sample consists of 151 respondents (14% effective response rate). For an initial exploratory survey examining internal relationships and resources, and given the generally high rank of respondents, 14% is an acceptable response rate (Hambrick, Geletkanycz, & Fredrickson, 1993). Response rates around 15% are also consistent with survey responses querying U.S. public affairs executives (Foundation for Public Affairs, 2002; Meznar & Nigh, 1995; Post & Griffin, 1997).

Variables and Operationalization

Our first hypothesis is based on resource dependency theory. The regression used for testing Hypothesis 1 is the following:

$$\text{Resources} = f(\text{senior management commitment, size, industry}). \quad (1)$$

Hypotheses 2 through 4 combine insights from resource dependency and institutional theory. The basic model for testing these hypotheses is as follows:

$$\text{Structures} = f(\text{resources, senior management commitment, formal rules and guidelines, size, industry}). \quad (2)$$

In each model, resources are measured as both *monetary resources* and *human resources*. In the survey instrument (see the appendix), we asked respondents to report the size of their corporate PA department's budget (*monetary resources*) within eight possible ranges. Ranges were used to maintain the confidentiality of the respondents and to ensure a good response rate for this potentially sensitive question. The monetary resources variable is the natural logarithm of the size of the corporate PA department's budget excluding donations and contributions. We used the median dollar level within the indicated range. Taking the logarithm of

departmental budgets minimizes absolute differences between the budget amounts.

The other resource variable is *human resources*. People facilitate interactions between the organization and its environments. People act as liaisons to manage, explain, and interpret emerging issues. Similar to Greening and Gray (1994), we take the number of full-time staff members to be an important resource allocation metric. These full-time staff members act as boundary spanners (Adams, 1976), act as an "early warning system" for top-level managers (Ansoff, 1975), and reduce "strategic surprises" (Wartick & Rude, 1986). We measure the human resources variable as the number of full-time professional staff members in the corporate PA department.

A dummy variable, *senior management commitment*, is coded 1 if any one of the following three indicators is present and 0 otherwise. The three indicators of senior management commitment are (a) the senior PA executive reports to the CEO, chairman, or president; (b) the senior PA executive is a member of the firm's senior management committee (or the equivalent); or (c) the organization has a board-level committee primarily focusing on the company's interaction with the external environment.

The variable *formal rules and guidelines* is based on Scott's (1992) criteria for identifying normative forces within an organization. We asked respondents if their corporate PA department has (a) a written mission statement for the department, (b) a PA strategic plan, and (c) the capability to measure and evaluate its own performance. The first two questions are dichotomous variables. The response to the last question was converted into a dichotomous variable by coding it as 1 if the PA department is allowed to measure and evaluate its own performance and 0 otherwise (see appendix for the relevant survey questions). The categorical variable, formal rules and guidelines, is the total of the positive responses to the above three questions.

The dependent variable, *structure*, is calculated using factor analysis. Three activity-based categories were created from the factor loadings: communication, collaboration, and local activities. Respondents were asked which of 20 different activities were conducted within their corporate PA department. A principal components factor analysis of the responses to the 20 different activities revealed three factors. (See Table 1.) The first factor, consisting of 12 activities, explained 28% of the variance (eigenvalue = 5.6). The second factor, consisting of 6 activities, explained an additional 12% of the variance (eigenvalue = 2.4). The third factor, consisting of 4 activities, explained 8% of the variance (eigenvalue = 1.6).⁴ With an eigenvalue greater than 1.5 and a minimum loading weight of an absolute value of 0.40, the initial 20 activities were

Table 1
Factor Analysis: Structure of Activities (N = 151)

	<i>Communication Activities</i>	<i>Collaboration Activities</i>	<i>Local Activities</i>
<i>Variable</i>	<i>Factor 1</i>	<i>Factor 2</i>	<i>Factor 3</i>
Media relations	0.845	0.169	-0.054
Public relations	0.842	0.225	-0.118
Internet—policy and administration	0.781	0.127	0.107
Employee communications	0.729	0.025	-0.131
Community relations ^a	0.683	0.183	0.408
Corporate foundation	0.682	0.297	-0.038
Advertising	0.652	-0.059	-0.186
Educational relations	0.611	0.047	0.283
Employee volunteer programs	0.599	0.121	0.099
Direct corporate contributions	0.547	0.121	-0.043
Federal government relations	-0.465	0.315	0.167
Political action committee ^a	-0.414	0.477	-0.132
Public policy group relations	-0.113	0.737	-0.153
Public interest group relations	-0.015	0.600	-0.268
State government relations ^a	-0.318	0.518	0.445
Political action committee ^a	-0.414	0.477	-0.132
Business/trade associations	-0.246	0.410	-0.081
Grassroots/grasstops	-0.208	0.395	-0.192
Local government relations	-0.119	0.367	0.670
International public affairs	-0.069	0.388	-0.543
State government relations ^a	-0.318	0.518	0.445
Community relations ^a	0.683	0.183	0.408
Eigenvalue	5.6	2.4	1.6

a. Loaded equally on two factors.

grouped into three factors denoting structures emphasizing communications, collaborations, and local activities.

Structure, as discussed above, is composed of three activity-based factors. The first dummy variable, *communication activities*, was coded 1 if the PA executive is responsible for at least two thirds (or eight) of the 12 activities grouped within communications and 0 otherwise. A second dummy variable, *collaboration activities*, was coded 1 if the PA executive is responsible for at least two thirds (or four) of the six activities grouped within collaboration activities and 0 otherwise. Finally, the third dummy variable, *local activities*, was coded 1 if the PA executive is responsible for at least two thirds (or three) of the four activities grouped within local

activities and 0 otherwise. One logistic equation was run for each structure variable (i.e., communication, collaboration, and local activity) for a total of three logistic regressions.

All regressions include *size* and *industry* as control variables. Researchers find that organizational size affects the credibility and reputation of an organization (Fombrun & Shanley, 1990). Large firms also have more resources with which to develop professional in-house expertise. Greening and Gray (1994) found that large organizations are more apt to develop and support corporate PA departments. The *size* variable is the natural logarithm of the firm's total assets for fiscal 1998 drawn from the COMPUSTAT database. The year 1998 was used because it is the most recent year immediately preceding the mailing of the public affairs survey. Organizational size is also not expected to change significantly year after year. Industry effects⁵ have been shown to be important when analyzing U.S. manufacturing firms' responses to their political and regulatory environments (Rehbein & Schuler, 1999; Schuler, 1996, 1999; Schuler & Rehbein, 1997). Manufacturing firms experiencing demands for low costs may have extensive employee layoffs and capital-intensive operations with pollution abatement demands. The dummy variable, *industry*, was coded 1 if the firm is predominantly a manufacturing company and 0 otherwise. 1998 SIC data from COMPUSTAT corroborated the survey data.

RESULTS

Table 2 reports the means, standard deviations, and chi-square statistics for all of the variables. Table 3 reports the results of the regression analyses on the resources allocated to the corporate PA department. Table 4 reports the results of the logistic regression analyses for the structure of activities adopted by corporate PA departments. Table 5 summarizes the findings for all hypotheses.

Our first hypothesis is that corporate PA departments will gain access to more resources if they have senior management commitment. The results in Table 3 provide strong support for Hypothesis 1. Corporate public affairs departments receive more human resources ($b = 13.45, p < .05$) and significantly more monetary resources ($b = 0.74, p < .001$) if they have senior management commitment. After controlling for organizational size and industry effect, senior management commitment explains 9.3% and 28.4% of the variation in the human and monetary resources, respectively, allocated to a corporate PA department. Overall, the results provide strong support for Hypothesis 1.

Table 2
Chi-Square Descriptive Statistics

Variable	Mean	Median	SD	Range	1	2	3	4	5	6	7	8
1. Senior management commitment	0.69	1.0	0.46	0-1								
2. Formal rules and guidelines	1.82	2.0	0.94	0-3	4.6							
3. Monetary resources	14.4	14	1.24	12-17	22**	16						
4. Human resources ^a	15.9	5.5	38.1	0-400	66**	.002	14***					
5. Communication activities	0.43	0.0	0.50	0-1	19***	1.9	36***	52***				
6. Collaboration activities	0.60	1.0	0.49	0-1	1.7	4.0	6.8	4.4***	0.5			
7. Local activities	0.61	1.0	0.49	0-1	2.5	4.4	4.8	11***	1.5	13***		
8. Organizational size ^a	8.54	8.6	1.37	5-12	1.3	.10*	.43***	8.5***	1.1	1.3	1.4	
9. Industry				0-1								

^a_t tests used for equality of variance for these continuous variables.

* $p < .05$. ** $p < .01$. *** $p < .001$.

Table 3
Commitment and Corporate Public Affairs Resources

	<i>Model 1a</i> <i>Human Resources</i>		<i>Model 1b</i> <i>Monetary Resources</i>	
Intercept	-58.56**	(20.65)	10.40***	(0.59)
Senior management commitment	13.45*	(6.75)	0.74***	(0.20)
Control variables				
Size	7.73**	(2.36)	0.40***	(0.07)
Industry	-1.01	(6.75)	0.25	(0.19)
Model statistics				
Adjusted R^2	.0932		.284	
F value	5.83***		19.50***	
N	141		140	

Note: Standard errors are in parentheses.

* $p < .05$. ** $p < .01$. *** $p < .001$.

Hypothesis 2 predicts that corporate PA departments with fewer resources will mimic one another and structure their activities similarly. Models 2a, 2b, and 2c in Table 4 show the results for communications, collaborations, and local activities, respectively. There is no support for Hypothesis 2. The results reported in Models 2a and 2b are contrary to expectation. Human resources has a statistically significant ($b = .06, p < .01$) and positive relationship with communication activities (Model 2a), and monetary resources has a statistically significant ($b = .39, p < .05$) and positive relationship with collaboration activities (Model 2b). These latter two results are contrary to the direction expected in Hypothesis 2. Furthermore, resources are not related to local activities (Model 2c). Taken together, these results provide no support for Hypothesis 2, which argued for an inverse relationship between resources and common structure of activities based on mimicry. On the contrary, our results show that resources are positively related to the structure of PA activities.

There is mixed support for Hypothesis 3. It predicts that senior management commitment will be positively related to the PA departments' structuring of activities. In support of the hypothesis, the coefficient on the senior management commitment variable ($b = 1.04, p < .05$) is positive and significant in Model 2a. In Model 2b, however, the coefficient of the senior management commitment variable has a negative and statistically significant ($b = -.90, p < .05$) relationship with collaboration activities, contrary to the direction expected. These results suggest that senior management commitment is related to firms adopting similar communication activity structures, whereas a lack of commitment is related to corporate

Table 4
Resources, Commitment, Formal Rules, and Public Affairs Activities

	Model 2a Communication Activities	Model 2b Collaboration Activities	Model 2c Local Activities
Intercept	-4.34 (3.23)	-5.46** (2.38)	2.63 (2.58)
Resources			
Human resources	0.06** (0.03)	-0.01 (0.01)	0.02 (0.01)
Monetary resources	0.30 (0.26)	0.39* (0.19)	-0.08 (0.20)
Senior management commitment	1.04* (0.50)	-0.90* (0.43)	-0.31 (0.41)
Formal rules and guidelines	-0.11 (0.23)	0.15 (0.20)	0.02 (0.20)
Control variables			
Size	-0.33 (0.18)	0.08 (0.15)	-0.16 (0.15)
Industry	0.28 (0.44)	-0.03 (0.39)	0.90* (0.40)
Model Statistics			
Chi-square	45.99***	10.40	10.54
Wald Statistic	24.30***	9.40	8.59
Adjusted R^2	.380	.097	.098
N	140	140	140

Note: Standard errors are in parentheses.

* $p < .05$; ** $p < .01$; *** $p < .001$.

Table 5
Results of Hypothesis Testing

Hypothesis 1:	Increased senior management commitment	→	Increased resources	Supported
Hypothesis 2:	Limited resources	→	Similar structures	Not supported Opposite direction supported
Hypothesis 3:	Increased senior management commitment	→	Similar structures	Mixed support
Hypothesis 4:	Formal rules and guidelines	→	Similar structures	Not supported

PA departments adopting common collaboration activities. Senior management commitment is not statistically significant with respect to local activities (Model 2c).

Hypothesis 4 predicts that formal rules and guidelines are related to how organizations structure their activities. This study does not support the hypothesis. The formal rules and guidelines variable is not statistically related to any of the common structure of activities (Models 2a, 2b, and 2c). For our sample, the existence of formal rules and guidelines does not result in corporate PA departments adopting isomorphic structures.

The control variable, size, is statistically significant and positively related to human resources (Model 1a) and monetary resources (Model 1b). Larger firms devote statistically more human resources ($b = 7.73, p < .01$) and monetary resources ($b = 0.04, p < .001$) to corporate PA departments than smaller firms. Surprisingly, organizational size is not related to how PA departments structure their activities (Models 2a, 2b, and 2c). The other control variable, industry, is only statistically significant ($b = 0.90, p < .05$) with respect to local activities (Model 2c). For this sample, manufacturing firms are more likely to have common local activities than nonmanufacturing organizations.

Overall, these regression analyses yield partial support for two of the four hypotheses, with Hypothesis 1 receiving the strongest support. The lack of support in the direction expected for Hypotheses 2 and 3 suggests that the relationships among resources, senior management commitment, and PA activities are much more complex than theory and previous empirical research have led researchers to expect.

Limitations

A potential methodological limitation may be a common method variance. Indicators of the independent, intervening, and dependent variables all come from the same source—the mail survey. Common method variance could potentially affect the internal validity of the study. This potential limitation is, however, minimized due to two factors: the nature of the questions and the respondents themselves. First, the respondents of the survey did not know the purpose of the current study. Indirect inquiry limits the self-reporting bias associated with potentially sensitive questions regarding the corporate PA department, its resource allocations, and its structures. By focusing on specific relationships (reporting relationships to the CEO or president, membership on senior management team, and so on) and activities (federal governmental relations, state government relations, international public affairs, and so on), there is little reason to believe that the respondents provided erroneous or misleading information. In addition, we used multiple questions sprinkled throughout the survey to create our constructs. Second, PA executives are experts within their organizations, responsible for their departments and their activities. They are the primary sources of information on intradepartmental resources and structures. Similar information is not available via independent sources. In addition, a confidentiality agreement with the respondents specifically states that the individual responses will not be disclosed. A similar confidentiality agreement has been in place for the 20 years that surveys have been conducted by the Foundation of Public Affairs. This further enhances the credibility of the confidentiality agreement.

A second limitation is the cross-sectional, exploratory nature of the research. This affects our ability to make strong arguments about the associations between structure and resources. We doubt that a linear, causal relationship exists between resources and structure of activities. Although complex interdependencies may exist and may change over time, it is likely that these interdependencies will develop and significantly shape organizational characteristics (Stone, Hager, & Griffin, 2001).

DISCUSSION

Theory-Driven Model

Our study makes three important contributions. First, we developed and tested a theory-driven model that integrates institutional and resource

dependence theories to examine the relationships among resources, top management commitment, and the structure of activities within PA departments. Creating and testing a model focusing predominantly on *internal* factors related to the boundary-spanning functions of the PA department complements and extends the existing research examining how external pressures affect PA activities (Greening & Gray, 1994; Meznar & Nigh, 1995; Rehbein & Schuler, 1999; Schuler, 1999; Schuler et al., 2002). Understanding internal resource allocations and structural variations in corporate PA departments is important because of their potential impact on future corporate resource allocations, performance, and effectiveness decisions (Greening & Gray, 1994) as well as their influence on corporate credibility, reputation, and transparency.

We corroborate earlier research that found a positive association between organizational factors and the structure of PA activities (Martin, 1995; Schuler, 1999). For our sample of firms, senior management commitment is related to both human resource and monetary resource allocations. In addition, PA departments with statistically significant human resources are likely to have common communication activities, whereas significant monetary resources support collaboration activities.

Senior Management Commitment

A second contribution is the study's corroboration and measurement of the importance of senior management commitment. In all cases, obtaining senior management commitment is critical to securing additional resources. Senior management commitment is also associated with common communications activities, whereas a lack of commitment is associated with collaboration activities. Without commitment, the firm may not be taking the lead on a specific issue or PA agenda item. Rather, the PA department is working with public policy groups, public interest groups, or trade association groups to create collaborative positions. These collaborative activities carry a cost because time as well as significant monetary and human resources are required to effectively collaborate.

Our senior management commitment results are consistent with Blumentritt (2003) yet contrary to Greening and Gray (1994). The latter found no relationship between top management commitment (measured as the number of hours the CEO devotes to issue management) and the resources allocated to corporate PA departments. Blumentritt (2003), on the other hand, found that management teams having a strong orientation toward government affairs are more willing to allocate human and financial resources necessary for carrying out those activities. Our results are similar. Firms having a strong senior management commitment

(measured by the firm's internal reporting relationships) provide more resources to their PA departments.

Our findings of the importance of senior management commitment are also consistent with Weaver et al.'s (1999) research on corporate ethical practices. Top management commitment to ethics played a statistically significant role in determining integrated practices of responsible corporate behavior. Although they used informed observers to report on informal conversational topics focused on by top management, we used formal reporting relationships to ascertain commitment.

Altogether, top management commitment, as reported or observed by a top executive in Blumentritt (2003), Weaver et al. (1999), and our current study, is critical for understanding how firms respond to the social, ethical, and political expectations of their constituents (Mahon, 1983).

Common Structures

The third contribution of this study is its identification of three common underlying structures of activity within U.S. corporate public affairs departments: communication, collaboration, and local activities. Regardless of the different naming conventions for PA functions, our study suggests commonalities in what PA departments *do*. Communication activities, the first set of common activities, include traditional outreach responsibilities such as media relations, public relations, advertising, community relations, and employee relations but exclude responsibility for federal government relations and political action committees. The second common activity set is collaboration activities. Collaboration consists of working with many nonmarket constituents such as public policy and public interest groups, business associations, and trade associations. Collaboration with internal constituents via grassroots advocacy, grassroots efforts, and political action committees is part of this activity set. The third common activity structure focuses on community relations and local and state government relations while excluding international public affairs responsibilities.

We speculate that local activities may depend on local issues such as local tax laws and regulations and on firm-related factors such as employee involvement in the local community and visibility of the firm's local presence, rather than on resource allocations. With little research conducted on corporate PA departments' involvement at the local level (i.e., structure, resources, or processes of management), we leave further elaboration of the relationships among resource allocation, policy development, and employee involvement for future researchers to investigate.

Interestingly, a PA function devoted solely to governmental relations was *not* a common underlying structure. Public affairs departments are often viewed as only being concerned with government-related activities. Senior PA executives are, however, now responsible for more messages to more audiences, more outreach efforts, and more partnership opportunities beyond the traditional governmental relations focus. Leveraging resources, events, and activities, PA executives seem to be doing more with fewer resources (Griffin, 1997) by integrating governmental affairs into the business units and daily operations and by using new structures: communications and collaborations.

Overall, there is no indication of a universal or “right” way to structure corporate PA departments. Boundary-spanning functions simultaneously serve two purposes: to satisfy external constituent demands as well as internal business demands (Post et al., 1983; Rehbein & Schuler, 1999; Schuler, 1999). Additional research on the implications of our activity-based focus (i.e., focusing on common structure of activities) is warranted. Within firms, little is known about appropriate levels of information flows among communication-based activities such as media relations and state government relations. Further research is needed to examine the interrelationships among internal pressures, external expectations, firm resources, senior management commitment, and the structure of PA activities. As a boundary-spanning function managing multiple expectations, PA departments can play a vital role in broader organizational concerns such as enhancing transparency, reputation (Mahon, 2002), trust, goodwill, and corporate citizenship (Fombrun & Shanley, 1990; W. Scott, 1992; Weaver et al., 1999).

Our contribution to the academic community is that we have developed and tested an integrated, theory-based model. Empirically examining intraorganizational operations of the corporate public affairs function furthers our understanding of some of the driving forces shaping organizational behavior. For executives, our study confirms anecdotal evidence that senior management commitment is important for gaining additional organizational PA resources. Regardless of organizational size, increased commitment to corporate PA departments by senior management through direct reporting, membership in senior management, and/or board-level committees leads to additional monetary resources.

Appendix
1999 Mail Survey:
Selected Questions for Construct Development

Resources

Monetary resources. Please indicate by range the current budget for corporate-level PA for the most recent fiscal year (*excluding corporate and foundation contributions and advertising*).

- Less than \$ 500,000
- More than \$500,000 to \$1 million
- More than \$1 million to \$2 million
- More than \$2 million to \$5 million
- More than \$5 million to \$7.5 million
- More than \$7.5 million to \$10 million
- More than \$10 million to \$15 million
- More than \$15 million

Human resources. Please indicate the current number of full-time staff members (professional and support) within the PA function. *Include all employees at the headquarters level and all those domiciled elsewhere who have solid-line reporting to headquarters PA.*

- _____ Full-time professional staff^a
- _____ Full-time support staff

Senior Management Commitment

Senior management committee. Is the senior PA executive currently a member of the company's senior management committee (or its equivalent)?

- Yes No N/A (no committee)

Board-level committee. Does your company have a board-level committee that primarily focuses on the company's interaction with the external environment (variously called public affairs, public policy, social policy, etc.)?

- Yes No

To whom senior PA executive reports. To whom (please indicate title) does the senior PA executive report?

- Chief executive officer
- Chairman or president (not CEO)
- Executive vice president
- Vice chairman
- Chief legal counsel or legal officer
- Other

Formal Rules and Guidelines

Formalized mission statement. Does your public affairs department have a written mission statement?

Yes No

PA strategic plan. Does the PA department periodically prepare a PA strategic plan?

Yes No

Performance measurement capability. How would you characterize your PA department's capability to measure and evaluate its performance? Please check only *one* response.

<i>Not Developed</i>			<i>Highly Developed</i>	
1	2	3	4	5

Structure of Activities

1. Please check the following functions that are currently conducted within your public affairs department. Check as many columns as appropriate.

Advertising
 Business/trade associations
 Community relations
 Corporate foundation
 Direct corporate contributions
 Educational relations
 Employee communications
 Employee volunteer programs
 Federal government relations
 Grassroots/grasstops
 International public affairs
 Internet administration and management
 Local government relations
 Media relations
 Political action committee
 Public interest group relations
 Public policy group relations
 Public relations
 Regulatory affairs
 State government relations

^aOnly this variable was used.

NOTES

1. Examining the relative magnitude and scope of PA activities among firms requires additional information and is beyond the purpose of the current study.
2. Using the Public Affairs Council does not create a sample selection bias because less than 40% of the sample population are Public Affairs Council members; therefore, the majority of those surveyed are not members of the Public Affairs Council.
3. These firms were dropped from the original sample because they were private firms, cooperatives, rate-regulated firms, or financial institutions that do not publicly report the variables of interest in this study.
4. Three activities—state government relations, political action committees, and community relations—loaded equally on two factors. One activity, regulatory affairs, did not significantly load onto any one of these three factors and was dropped from subsequent analyses.
5. Thanks to an anonymous reviewer for suggesting this addition.

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